

Note 17: Reconciliation of Statement V and Statement II

The WIPO Program and Budget is established on a modified accrual basis in accordance with the Financial Regulations and Rules, and is approved by the Assemblies of the Member States. WIPO's budget is adopted by the Assemblies on a biennial basis, however, separate estimates are prepared for each of the two annual periods. The Program and Budget for the 2020/21 Biennium established a budget for the biennium of expenditure of 768.4 million Swiss francs. The WIPO Performance Report for 2020 provides an explanation of both the changes between the original and final budget after transfers, and the material differences between the budget and the actual amounts. WIPO's budget and financial accounts are prepared using two different bases. The Statement of Financial Position, Statement of Financial Performance, Statement of Changes in Net Assets and Statement of Cash Flow are prepared on a full accrual basis, whereas the Statement of Comparison of Budget and Actual Amounts (Statement V) is prepared on a modified accrual basis. As required by IPSAS 24, reconciliation is provided between the actual amounts on a comparable basis as presented in Statement V and the actual amounts in the financial accounts identifying separately any basis, timing and entity differences.

Reconciliation for the year 2020				
	Operating	Investing	Financing	Total
	<i>(in thousands of Swiss francs)</i>			
Actual amount on comparable basis (Statement V)	168,485	-	-	168,485
Depreciation and amortization	-9,773	-	-	-9,773
Capitalization/disposal PPE and intangible assets	-	2,456	-	2,456
Finance lease adjustments	-	-	-518	-518
Changes in employee benefit liabilities	-14,619	-	-	-14,619
Change in allowance for receivables	59	-	-	59
Special Accounts revenue recognition	-3,620	-	-	-3,620
Total Basis differences	-27,953	2,456	-518	-26,015
Projects financed from reserves	-10,219	-	-	-10,219
Special Accounts	3,620	-	-	3,620
Total Entity differences	-6,599	-	-	-6,599
Actual amount in the Statement of Financial Performance (Statement II)	133,933	2,456	-518	135,871